



TESLA IS FOR the West; Ola is for the rest,” Bhavish Aggarwal, the Chairman and Managing Director of Ola Electric, told a gathering of over 5,000 people on August 15, 2024, while unveiling an electric motorcycle. Aggarwal, a serial entrepreneur, was leading India’s biggest electric two-wheeler maker. But what the IIT-Bombay graduate didn’t foresee was Ola Electric not only forgoing its pole position but also skidding out of India’s e-two-wheeler race.

40 | Ola Electric was fifth in sales in November and December 2025, behind TVS Motor Company, Bajaj Auto, Ather Energy and Hero MotoCorp. It sold 8,405 units in November and 7,340 in December till 29th of the month, according to data from the government’s VAHAN portal. The average comes to two vehicles each from the vast network of 4,000 company-owned outlets, 3,200 of which opened on Christmas Day last year. Its market share in e-scooters—once as high as 50%—slipped to just 7.2%.

As Ola sputtered, Ather Energy, founded by IIT-Madras alumni Tarun Mehta and Swapnil Jain, witnessed a steady rise in sales. Its market share was 17.4% in November 2025, up from 10% in the corresponding month of the previous year.

This is a case study of IITian founders choosing different paths to build their companies. Aggarwal played big from day one and co-founded one of India’s biggest ride-hailing services, Ola Cabs (now Ola Consumer), in 2010. Three years later, he was taking on US giant Uber. Around that time, Mehta and Jain quit their jobs and went back to their alma mater’s incubation centre to build Ather Energy.

The slow-and-steady duo took five years to launch their first electric scooter in 2018. Aggarwal, after the success of his first venture, forayed into electric two-wheelers during the pandemic. At the launch of the company’s first electric scooter in 2021, he called Ola Electric’s 500-acre ‘Futurefactory’ in Tamil Nadu’s Krishnagiri, a four-hour drive from Bengaluru, the “ground zero” of a revolution that will give the country “freedom” from petrol. “Scale is the only way we bring a revolution here fast.”

Ola Electric did achieve scale, and was India’s top EV maker from 2022 to 2024. But before long, it faced a barrage of customer complaints, forcing the Central Consumer Protection Authority to launch an investigation over alleged violations of consumer rights, misleading advertisement and unfair trade practices. “In the auto industry, once you reach a certain scale, you need to follow certain protocols. There will be quality issues. If you are not able to correct the process, it will be difficult for you to grow beyond a point,” says Puneet Gupta, Director, India & ASEAN Automotive Market, S&P Global Mobility.

“The problem started with quality issues. Ola Electric should have acted quickly to resolve them,” says Gupta. Instead, it went on a store expansion blitz, widening its distribution network from 750 to 4,000 by the end of last year. But this did not help. It continued losing market share to legacy rivals. Ola slashed its revenue guidance for FY26 from ₹4,200-4,700 crore forecast in July to ₹3,000-3,200 crore in November. It projected sales of 325,000-375,000 units in FY26 compared to 359,221 in FY25. However, as per VAHAN data, it managed to sell 109,000 units in the first half of the fiscal. For the second half, it has forecast deliveries of approximately 100,000 units, “reflecting a strategic focus on margin discipline in a hyper-competitive market.” But even that looks ambitious; it sold less than 10,000 units each in November and December.

All this while, Ather went slow on retail expansion, focusing only on markets where it saw demand. The size of an automaker’s product portfolio determines its distribution network, Mehta tells *BT*. “India is such a diverse market. Hero Splendor has been a ridiculously successful bike for decades. But it is successful only in some parts of the country. Same is the case with the Honda Activa and TVS Jupiter. Almost no product becomes very successful

OLA’S STRATEGY OF UNDERCUTTING RIVALS ALSO HIT THE INDUSTRY HARD. THE PRICE WAR FORCED LEGACY PLAYERS TO OFFER THEIR E-SCOOTERS AT COMPETITIVE PRICE POINTS